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RESEARCH ARTICLE

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The importance of advertising skepticism for brand extension appeals

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Abstract

According to existing research, ad persuasiveness decreases as advertising skepticism (i.e., the tendency to disbelieve advertising claims) increases. What remains unclear, however, is whether or not this effect extends to brand extension appeals. We suggest that the effect may vary according to brand extension similarity. Three studies test this assertion while providing process evidence and boundary conditions for the proposed effect. According to the findings, consumers automatically transfer associations from parent brands to highly similar extensions or automatically block these associations in the case of highly dissimilar extensions—reducing the impact of advertising skepticism on ad persuasiveness. At moderate levels, however, extension similarity is less predictive of the transfer process, increasing the negative effect of advertising skepticism on persuasion. Consistent with this account, the results identify brand transfer (i.e., the ability of the parent brand to make the extension) as the underlying mechanism explaining the advertising skepticism effect for moderately similar brand extension appeals. Furthermore, the results show how marketers can reduce these effects, and increase extension success, by emphasizing extension attributes that are shared with the parent brand. Collectively, these results provide a unique theoretical view, improving our understanding of advertising skepticism and the drivers of brand extension success.

KEYWORDS

advertising, advertising skepticism, affect transfer, brand extension similarity, brand transfer, consumer skepticism, persuasion

Managers have important decisions to make, about which new products to offer and how best to market them. A popular and safe option that is well supported by existing research (Völckner & Sattler, 2006) is to consider only new products that are highly similar to the parent brand. Yet, what should managers do when highly similar options are exhausted or market factors make them untenable? For example, following a period of decline in sales and market share, Apple marketed a series of brand extensions that deviated substantially from its personal computer, such as the iPod (in 2001), iTunes (in 2003), and iPhone (in 2007; History of Apple Inc., 2018; Pogue, 2006). By extending to a wider variety of product categories, Apple was able to recover financially and make its brand highly desirable in other distinct categories (Meyvis & Janiszewski, 2004). Now, Apple is synonymous with novelty, innovation, and creativity (Fitzsimons, Chartrand, & Fitzsimons, 2008). Likewise, Kraft Foods initially introduced cream cheese in the 1880s before broadening to a host of other, more diverse, product categories, such as pizza, coffee, and cereal (Bellis, 2017).

As these examples underscore, managers are often motivated and sometimes compelled, to consider brand extensions beyond those that align closely with the parent brand. Other examples include Orville Redenbacher ready-to-eat popcorn, the Budweiser sauces, Ivory laundry detergent, and Arm & Hammer toothpaste. Marketing dissimilar extensions can also serve to broaden the brand and provide

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greater opportunities for growth and further diversification (Meyvis & Janiszewski, 2004). For these reasons, it is important for managers to understand what factors may influence the marketing of brand extensions that deviate from the parent brand. This article examines one such factor: Advertising skepticism, that is, an individual's tendency to disbelieve advertising claims (Obermiller & Spangenberg, 1998). Advertising skepticism is particularly relevant in the context of brand extensions given the prevalent use of advertising to communicate brand-specific associations that can be transferred to extensions (Bridges, Keller, & Sood, 2000; Broniarczyk & Alba, 1994). For example, advertising quantity is positively related to brand extension evaluations (Lane, 2000), adoption rates (Chen & Liu, 2004), and measures of market success (Taylor & Bearden, 2003). Despite these findings, advertising skepticism has the potential to reduce the effectiveness of extension appeals, and of brand extension strategies more generally, by impeding the transfer of brand-specific associations. One such association is the ability of the parent brand to make the extension (Aaker & Keller, 1990; Barone, Miniard, & Romeo, 2000), which, according to Aaker and Keller (1990, p. 31) reflects the extent to which "consumers feel that the people, facilities, and skills a firm uses to make the original product would transfer and be used effectively in designing and making the extension." A similar, but distinct concept, "brand competency," refers to the perceived ability of the firm to transfer its core skills into the new product domain (Barone et al., 2000). Brand transfer is particularly relevant to brand extension evaluations. Elevated levels of brand transfer facilitate the transference of affect from the parent brand to the brand extension, leading to more favorable brand extension evaluations.

This article combines the literature on brand extensions with research into the effects of advertising skepticism to address the following questions: How effective are brand extension appeals in the face of heightened advertising skepticism?; Is the answer to this question contingent on extension characteristics, such as its similarity with the brand product category?; Is the impact of similarity and advertising skepticism on brand extension evaluations mediated by perceptions of parent brand transfer?; and lastly, how can marketers overcome the deleterious effects of advertising skepticism? The answers to these questions are important both theoretically and practically, insofar as they provide greater insights into brand extension strategies and related models of associative transfer (Aaker & Keller, 1990). The findings contribute to the literature by examining the joint impact of brand extension similarity and advertising skepticism on evaluations of (a) brand extensions and (b) their parent brands. The next section reviews the relevant literature before introducing the research hypotheses.

1 | CONCEPTUAL FRAMEWORK AND HYPOTHESES

The conceptual model is illustrated in Figure 1 and is expounded in what follows. To overcome the high failure rates of new products, companies frequently associate the new product with well-defined identities and

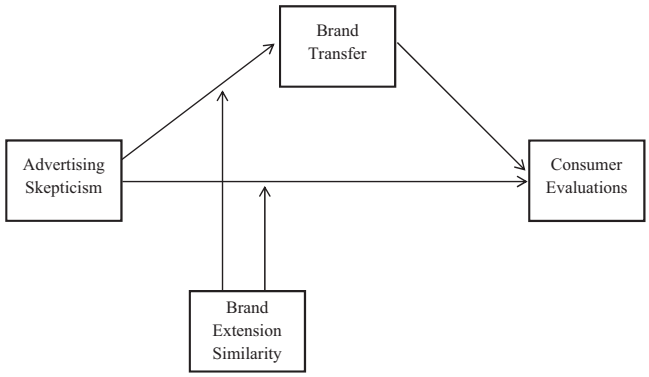

FIGURE 1 Conceptual model

valuable equity (e.g., countries, other brands, and celebrities). One of the most common strategies is to launch a new product with an established brand, for example, the Tide Pen, Tootsie Pops, Virgin Atlantic Airways, and O (The Oprah Magazine). According to associative network theory (Anderson & Bower, 2014), drawing associations between extensions and these established entities can result in associative transfer effects (Cunha, Forehand, & Angle, 2015) whose primary driver is the degree of similarity between the extension and the parent brand.

In the marketing literature, the degree of association between two entities (e.g., a core brand and a new extension) has received various designations (e.g., "fit," "similarity," "congruence," "consistency," and "match"; Zdravkovic, Magnusson, & Stanley, 2010). In the context of brand extensions, similarity consists of two key dimensions (Park, Milberg, & Lawson, 1991). The first characterizes the association between the features of the extension and the features of the brand's existing products, whether concrete or abstract. The second dimension reflects the extension's compatibility with the brand concept. In this article, the similarity is specified in terms of product features, that is, brand extension similarity indicates the degree to which the extension shares analogous features with the core brand's existing products. This type of similarity is consistent with categorization process theory (e.g., Boush & Loken, 1991), which defines similarity as the alignment, or proto-typicality, of the extension with the core brand category in terms of its physical characteristics. For example, McDonald's onion rings are more similar to the core brand than are McDonald's greeting cards, because the former is more prototypical of the company's core product category, that is, fast food (Mao & Krishnan, 2006). If McDonald's were to offer onion rings as a brand extension, an affective transfer process would likely occur whereby consumers would largely base their evaluations of the extension on their attitudes toward, and perceptions of, the parent brand (Aaker & Keller, 1990).

1.1 | Advertising skepticism and brand extension similarity

Although there are several well-established studies on advertising skepticism (e.g., Forehand & Grier, 2003; Obermiller & Spangenberg, 1998), prior research has not fully explored the relationship between advertising skepticism and brand extension strategies. Yet, according

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to Table 1, there is ample evidence to suggest qualitatively different responses to brand extensions according to advertising skepticism. Based on previous findings, one may expect a reduction in the persuasiveness of the message as advertising skepticism increases. Indeed, if a recipient is highly skeptical, he or she may disbelieve the core arguments and discount the message (Friestad & Wright, 1994), thus obstructing the transfer of the parent brand's skills onto the extension.

However, this intuition is too simplistic and fails to account for the unique nature of brand extensions, that is, the similarity between the parent brand and the brand extension (Völckner & Sattler, 2006). When brand extensions are highly similar or dissimilar to the parent brand, the evaluation process is relatively transparent, straightforward, and automatic (Barone, 2005; Boush & Loken, 1991). In the absence of further information about the extension, consumers automatically transfer brand associations from the core brand to highly similar extensions or automatically block the transference in the case of highly dissimilar extensions (Keller & Aaker, 1992). For example, if Pampers were to introduce a disposable baby wipes brand extension, consumers would automatically transfer associations of the core brand (e.g., babies, gentleness, safety, and ease) to the new extension. In such a case, individual-level variables such as advertising skepticism are essentially eclipsed by extension similarity. Conversely, if Pampers were to introduce a razor blade brand extension, the transference of associations would be inhibited, because associations between the core brand and the extension are virtually nonexistent. Likewise, it is likely that advertising skepticism will have little effect for truly dissimilar extensions because there are no clear associations to be drawn between the core brand and the extension. However, when extension similarity is moderate, similarity alone is less diagnostic and predictive of extension evaluations. Under such circumstances, individual-level variables such as mood (Barone et al., 2000) and product knowledge (Muthukrishnan & Weitz, 1991) have been shown to influence the evaluative process. From this prior work, it is anticipated that advertising skepticism will also have more impact when extension similarity is moderate, compared to when it is high or low. More specifically, we propose that although advertising skepticism will result in less favorable evaluations of brand extensions in general (Obermiller, Spangenberg, & MacLachlan, 2005), the magnitude of its effect will be contingent upon brand extension similarity: Lower when the brand extension is highly similar or highly dissimilar and higher when the brand extension is moderately similar. In other words, we postulate that advertising skepticism will be more likely to influence evaluations of brand extensions when the advertised brand extensions are moderately similar to their respective parent brands, but less likely when the advertised brand extensions are highly similar or highly dissimilar to their parent brands.

This is consistent with the theorizing of Aaker and Keller (1990) and Dacin and Smith (1994) according to who lower levels of similarity increase consumer skepticism. As demonstrated by Aaker and Keller (1990), extensions exhibiting low similarity are rejected immediately by consumers whereas highly similar extensions are accepted promptly. Between these two extreme points, it is likely that moderate similarity will trigger greater suspicion among highly skeptical consumers compared to consumers low in skepticism, resulting in different evaluations.

To summarize, it is expected that evaluations will decrease as advertising skepticism increases and that this decline will be steeper for moderately similar brand extensions compared to highly similar or highly dissimilar brand extensions. This hypothesis is also consistent with the findings of Barone et al. (2000), which suggest that the effect of mood is larger for moderately similar brand extensions compared to highly similar or highly dissimilar brand extensions. Therefore, it is hypothesized that:

H1 *Individuals low in advertising skepticism will evaluate brand extensions more favorably than individuals high in advertising skepticism. This difference in brand extension evaluations will be larger for moderately similar brand extensions compared to highly similar or dissimilar brand extensions.*

TABLE 1 Characteristics of high versus low advertising skeptics

	Advertising skepticism		
Characteristic	**Low**	**High**	**Source**
Processing effort	More attentive to ads	Less attentive to ads	Obermiller et al. (2005)
Belief	High belief in ad information	Low belief in ad information	Obermiller and Spangenberg (1998)
Trust	Tendency to trust ads	Tendency to distrust ads	Koslow (2000)
Discounting	Tendency to accept ad information	Tendency to reject ad information	Obermiller and Spangenberg (1998)
Attitudes toward ads	Tendency to like ads	Tendency to dislike ads	Obermiller et al. (2005)
Attitudes toward business	Tendency to like business	Tendency to dislike business	Forehand and Grier (2003)
Counter-arguing	Less counter-arguing	More counter-arguing	Escalas (2006)
Source denigration	Less denigration	More denigration	Forehand and Grier (2003)
Ad reliance	High reliance	Low reliance	Obermiller et al. (2005)
Usefulness	Ad information is useful	Ad information is not useful	Obermiller et al. (2005)
Accuracy	Ad information is accurate	Ad information is inaccurate	Obermiller and Spangenberg (1998)

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Based on associative network theory, previous research shows that there is a reciprocal spillover effect of extension evaluations onto parent brand cognitions (e.g., brand dilution effects), and vice-versa (Gürhan-Canli & Maheswaran, 1998). Consequently, a similar relationship is anticipated between brand extension similarity and advertising skepticism in terms of parent brand evaluations:

H2 *Individuals low in advertising skepticism will evaluate parent brands more favorably than individuals high in advertising skepticism. This difference in parent brand evaluations will be larger for moderately similar brand extensions compared to highly similar or highly dissimilar brand extensions.*

1.2 | The mediating role of brand transfer

Brand transfer refers to the extent to which consumers perceive that the parent brand can transfer its core skills to make a new product (Aaker & Keller, 1990; Barone et al., 2000). Brand transfer is commonly established and reinforced through advertising (Aaker & Keller, 1990; Broniarczyk & Alba, 1994). Prior brand extension research demonstrates how other individual-level variables influence brand transfer. For example, the study of Barone et al. (2000) on the moderating effect of mood and brand extension similarity identifies perceived similarity and perceived competency as significant mediators driving extension evaluations. Consistent with this research, we expect that advertising skepticism will interact with brand extension similarity in such a way as to influence the affective transfer process through perceptions of parent brand skills in making the extension (i.e., brand transfer). Specifically, given their tendency to critically evaluate, discount, and counter-argue advertisements, we predict that consumers who are more (less) skeptical of advertising will be less (more) likely to believe that the parent brand can make the extension when exposed to advertisements featuring new brand extensions. Applying the same rationale used for brand extension evaluations and parent brand evaluations, we hypothesize that the difference in perceptions of brand transfer between high and low skeptics will be larger for moderately similar brand extensions compared to highly similar or highly dissimilar brand extensions. If correct, the mediation effect of brand transfer should be moderated by advertising skepticism, but only for moderately similar brand extensions. Formally:

H3 *The effect of advertising skepticism on brand extension and parent brand evaluations will be mediated by perceptions of brand transfer for moderately similar brand extensions but not for highly similar or highly dissimilar brand extensions.*

The conceptual framework proposed here is consistent with the theorizing of Aaker and Keller (1990) regarding brand extension transfer, that is, brand evaluations are more favorable when brand transfer is high. If so, then enhancing perceptions that the parent can successfully make the extension should have a positive influence on evaluations of brand extension by those consumers who are highly skeptical of advertising. Brand transfer may be enhanced either by reinforcing parent brand skills that could be used to make the extension (e.g., "Disposable Baby Wipes by Pampers: Made by the world leader in baby products"), or by reinforcing brand extension features shared with the parent brand (e.g., "Disposable Baby Wipes by Pampers: made with the best material of baby diapers"; Aaker & Keller, 1990). As a way of overcoming the suspicion of high skeptics, this research emphasizes brand extension features shared with the parent brand that could suggest to consumers that the parent brand can indeed produce the extension. We predict that the effect of this strategy will be larger for high skeptics than for low skeptics, because low skeptics are more likely to believe in the advertisement arguments. Formally, we predict that:

H4 *Increasing brand transfer will result in more positive extension evaluations for individuals high in advertising skepticism, but not for individuals low in advertising skepticism.*

2 | OVERVIEW OF EMPIRICAL STUDIES

Three studies were undertaken to test the hypotheses. Study 1 tests hypotheses H_1 and H_2 by manipulating consumer advertising skepticism (high vs. control) and brand extension similarity (low vs. moderate vs. high). Study 2 extends this analysis by examining advertising skepticism as an individual difference variable and manipulating brand extension similarity (low vs. moderate vs. high). In addition, Study 2 demonstrates process evidence in support of the associative-transfer account, by investigating the mediating role of perceived brand transfer. Finally, Study 3 demonstrates a strategy designed to reduce the effects of advertising skepticism by reinforcing brand transfer.

3 | STUDY 1

Study 1 investigated the effects of advertising skepticism and brand extension similarity on evaluative judgments of brand extensions and their parent brands. This was done by manipulating advertising skepticism and brand extension similarity (Nielsen & Escalas, 2010). We expect that consumers exhibiting high levels of skepticism toward advertising will be more critical of extensions than consumers exhibiting low levels of skepticism toward advertising and that this difference will be larger for moderately similar, rather than highly similar or highly dissimilar, brand extensions.

3.1 | Method

3.1.1 | Participants and design

A total of 2,400 customers from a large, South American online retailer were invited, via email, to participate in a 2 (advertising skepticism: high vs. control) × 3 (brand extension similarity: low vs. moderate vs. high) between-subjects experiment. Of these, 218

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individuals (59% male, M_{age} = 38 years) participated voluntarily by clicking on the survey link provided in the invitation email (response rate = 9.1%).

3.1.2 | Procedure

Individuals were invited to participate in a study that was purportedly testing a new product in select markets before a broad launch for the brand BIS (a Mondelēz International brand well-known for its chocolate-covered wafers). As previous studies have shown (Völckner & Sattler, 2006), perceived brand quality plays a crucial role in evaluations of brand extensions. Thus, the BIS brand was selected from 22 other brands, based on the results of a pretest in which participants (N = 30) rated the brand as particularly high in quality (M = 6.00, SD = 1.34) and consumption frequency (M = 4.27, SD = 1.68) according to two 7-point scales anchored at *poor—excellent* (quality) and *never—everyday* (consumption frequency). Participants also indicated whether or not they were aware of the brand (see Appendix S1 for complete results).

Consistent with prior conceptualizations of brand extension similarity (Keller & Aaker, 1992), the extensions were pretested (N = 15) according to their similarity with the parent brand's product category (chocolate-covered wafers) as measured from 1 (very dissimilar) to 7 (very similar). Based upon the pretest results, the following brand extensions were selected for the main study, listed from most to least similar to BIS's product category, along with t-tests comparing mean values to the scale mid-point: ice cream (M = 5.1, SD = 1.3; $t(14) = 3.23$, $p < 0.01$), chocolate bar (M = 3.8, SD = 1.1; $t(14) = -0.68$, $p = 0.51$), and canned tea (M = 1.3, SD = 0.8; $t(14) = -12.65$, $p < 0.01$) (see Appendix S2 for complete results). Although it may seem odd at first that ice cream was considered more similar to BIS (a chocolate-covered wafer) than a chocolate bar, most consumers keep BIS refrigerated (because of its melting surface) and eat it as a dessert, thus explaining its high similarity to ice cream.

After accessing the questionnaire, participants read that the objective of the current survey was to assess an advertisement in support of the product launch. Initially, participants were asked to indicate their attitude toward the brand. Brand attitude was assessed according to four items: *terrible–excellent; unpleasant–pleasant; inferior–superior; unsatisfactory–satisfactory* , all measured on 7-point, semantic differential scales (M = 5.51; SD = 0.98; α = 0.85; 94.5% above the scale mid-point) (Keller, 1991).

Before presenting the ads, advertising skepticism was manipulated using a manipulation adapted from Nielsen and Escalas (2010), which was pretested with an actual advertisement (see Appendix S3). In the high advertising skepticism condition, participants were asked to evaluate the advertisement carefully and to write a critical review as if they worked for a consumer rights magazine. Conversely, participants in the control condition proceeded directly to the advertisement. Following the advertising skepticism manipulation, participants were presented with one of the brand extension advertisements, which varied according to similarity.

Consistent with previous research on brand extensions (Aaker & Keller, 1990), participants then indicated their evaluative judgments of the brand extension by agreeing or disagreeing (1 = totally disagree and 7 = totally agree) with the following four statements: "*I would consider purchasing the <extension>*," "*I would like to try the <extension>*," "*I would recommend the <extension> to my friends and family*," and "*If I were to purchase an <extension's product category> today, I certainly would purchase the <extension>*." These items were averaged to form a composite scale (α = 0.91). Next, parent brand evaluations were assessed by asking participants to indicate to what extent their opinion of the parent brand (BIS) had changed after being exposed to the advertisement according to a 100-point slider scale (−50 = much worse; +50 = much better). After completing these measures, participants answered several demographic questions before being thanked for their participation. Appendix S4 contains a detailed description of all the scales used in the studies described in this research.

3.2 | Results

All analyses were submitted to the same two-way analysis of covariance (ANCOVA), with advertising skepticism, brand extension similarity, and their interaction as independent variables. Because differences of initial parent brand attitude could mask the evaluative judgments of the brand extensions, it was included as a covariate in the analyses. The same results are observed when the covariate is removed.

3.2.1 | Brand extension evaluation

The analysis of brand extension evaluations revealed a main effect of brand extension similarity ($F[2,211] = 8.70$, $p < 0.01$, $\eta_p^2 = 0.08$), a main effect of advertising skepticism ($F[1,211] = 7.33$ $p < 0.01$, $\eta_p^2 = 0.04$), and an advertising skepticism × brand extension similarity interaction ($F[2,211] = 4.79$, $p < 0.01$, $\eta_p^2 = 0.04$); parent brand attitude was also significant ($F[1, 211] = 22.92$, $\eta_p^2 = 0.10$).

Given the main effects of advertising skepticism and perceived similarity, post hoc tests were conducted to discern the nature of these effects. As expected, participants in the control condition evaluated the brand extension (M = 5.20, SD = 1.35) more favorably than participants in the high advertising skepticism condition (M = 4.76, SD = 1.41, $p < 0.05$). Further contrast analyses also showed that participants evaluated the brand extensions in the predicted direction ($M_{high\ similarity}$ = 5.56, SD = 1.17; $M_{moderate\ similarity}$ = 4.94, SD = 1.39; $M_{low\ similarity}$ = 4.47, SD = 1.41; all values of $p < 0.05$).

To understand the nature of the interaction effect and test H_1, post hoc contrasts were conducted controlling for pre-existing parent brand attitudes. Participants in the control condition (M = 5.48, SE = 0.18) evaluated the moderately similar brand extension more favorably than participants in the high skepticism condition (M = 4.34, SE = 0.19, $F(1,75) = 19.87$, $p < 0.01$, $t(76) = 4.22$, $p < 0.01$, $\eta_p^2 = 0.21$). However, there were no differences in brand extension evaluations between participants in the control condition and participants in the high skepticism condition for the highly dissimilar brand extension ($M_{control}$ = 4.44, SE = 0.24 vs. M_{high}

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$_{skeptics}$ = 4.45, SE = 0.25, $F(1,66)$ = 0.03, p = 0.87, η_p^2 = 0.00) or for the highly similar brand extension ($M_{control}$ = 5.66, SE = 0.19 vs. $M_{high\ skeptics}$ = 5.46, SE = 0.19, $F(1,68)$ = 0.54, p = 0.46, η_p^2 = 0.01).

Consistent with H_1, the difference in brand extension evaluations between participants in the control condition and participants in the high advertising skepticism was larger for the moderately similar brand extension appeal (η_p^2 = 0.21) compared to the highly similar (η_p^2 = 0.01) or dissimilar (η_p^2 = 0.01) brand extension appeals. These results are illustrated in Figure 2, Panel A.

3.2.2 | Parent brand evaluation

The analysis of parent brand evaluations revealed a main effect of brand extension similarity ($F[2,211]$ = 9.87, p < 0.01, η_p^2 = 0.09), and an advertising skepticism × brand extension similarity interaction ($F[2,211]$ = 2.62, p < 0.10, η_p^2 = 0.02). The effect of attitude towards the parent brand was also significant ($F[1,211]$ = 5.51, p < 0.05, η_p^2 = 0.03) but not the effect of advertising skepticism ($F[1,212]$ = 1.56 p = 0.21).

Although the difference was not significant, participants in the control condition evaluated the parent brand (M = 11.13, SD = 18.56) more favorably than participants in the high advertising skepticism condition (M = 8.12, SD = 17.43, p = 0.22). As expected, parent brand evaluations were in the predicted direction ($M_{high\ similarity}$ = 17.37, SD = 17.28; $M_{moderate\ similarity}$ = 8.47, SD = 16.73; $M_{low\ similarity}$ = 3.14, SD = 17.56) (all p values < 0.1).

To understand the nature of the interaction effect and test H_2, post hoc contrasts were conducted while controlling for parent brand attitudes. Participants in the control condition (M = 13.14, SE = 2.51) exposed to a moderately similar brand extension appeal evaluated the parent brand more favorably than participants in the high advertising skepticism condition (M = 3.31, SE = 2.65, $F(1,75)$ = 7.24, p < 0.01, η_p^2 = .09). Conversely, no differences in parent brand evaluations were found between participants in the control condition and participants in the high advertising skepticism for those exposed to a highly dissimilar brand extension appeal ($M_{control}$ = 1.85, SE = 2.90 vs. $M_{high\ skeptics}$ = 4.56, SE = 3.03, $F(1, 66)$ = 0.41, p = 0.52, η_p^2 = 0.01) or a highly similar brand extension appeal ($M_{control}$ = 18.59, SE = 2.87 vs. $M_{high\ skeptics}$ = 16.10, SE = 2.91, $F(1,68)$ = 0.37, p = 0.54. η_p^2 = 0.01).

Therefore, consistent with H_2, the difference in parent brand evaluations between participants in the control condition and participants in the high advertising skepticism was larger for those exposed to the moderately similar brand extension appeal (η_p^2 = .09) compared to those exposed to the highly similar (η_p^2 = 0.01) or highly dissimilar (η_p^2 = 0.01) brand extension appeals. These results are illustrated in Figure 2, Panel B.

3.3 | Discussion

According to previous research (Völckner & Sattler, 2006), evaluations of brand extensions should increase with similarity. The results of Study 1 identify advertising skepticism as an important factor in this relationship. Specifically, participants exposed to the moderately similar extension appeal reported more favorable extension evaluations in the control condition compared to the high advertising skepticism condition. However, these differences did not emerge for the highly similar or highly dissimilar brand extension appeals. In sum, and consistent with predictions, there was a larger effect of advertising skepticism for the moderately similar brand extension appeal compared to highly similar or highly dissimilar brand extension appeal. Similar results were obtained for the parent brand evaluations. Study 2 explores the mediational mechanism that may explain this effect.

4 | STUDY 2

Study 1 demonstrated how advertising skepticism influences evaluations of moderately similar extensions. If it is correct that increased levels of advertising skepticism inhibit brand transfer of moderately similar extensions, then brand transfer should mediate the effects observed in Study 1 (H_3).

4.1 | Method

4.1.1 | Participants and design

A total of 169 students (50% male, M_{age} = 19.9 years) participated voluntarily in this experiment. The design was a one-factor,

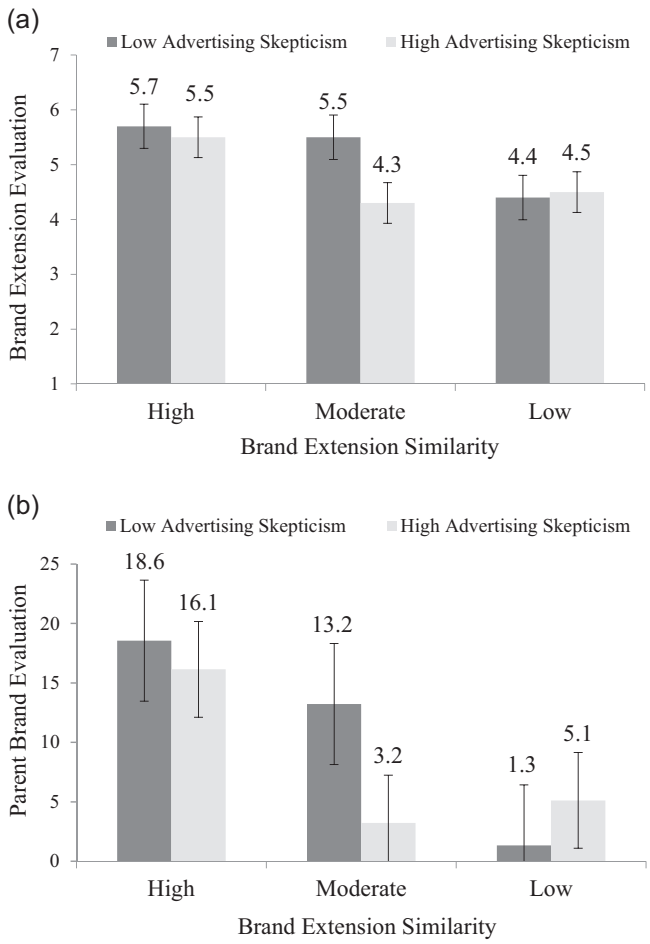

FIGURE 2 (a) Brand extension and (b) parent brand evaluations by extension similarity and consumer advertising skepticism (Study 1)

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between-subjects manipulation of brand extension similarity (low, moderate, and high), in which advertising skepticism was measured.

4.1.2 | Procedure

The procedure was similar to that of Study 1. At the outset, participants were informed that Dell (a high quality, well-known computer manufacturer) was sponsoring a survey about an advertisement for a new product. Participants then indicated their overall attitude toward Dell according to the same four-item scale used in Study 1 ($\alpha = 0.82$). Next, participants were presented with an advertisement featuring the brand extension, which varied based upon its similarity with the parent brand.

The extensions (along with 29 other products) were pretested ($N = 33$) according to their similarity to the parent brand's product category (computers) as measured from 1 (very dissimilar) to 7 (very similar). Based upon the pretest results, the following brand extensions were selected to serve as stimuli in the main study, listed from most to least similar, along with t-tests comparing mean values to the scale mid-point: all-in-one printer ($M = 6.5$, $SD = 1.0$; $t(32) = 14{,}52$, $p < 0.01$), espresso machine ($M = 3.8$, $SD = 1.5$; $t(32) = -0.69$, $p > 0.50$), and sunglasses ($M = 1.7$, $SD = 1.5$; $t(32) = -8.58$, $p < 0.01$) (see Appendix S5 for complete results).

Participants evaluated the brand extension and the parent brand using the same evaluative judgment ($\alpha = 0.82$) and parent brand evaluation scales described in Study 1. Brand transfer was measured using the following three items adapted from previous studies (Aaker & Keller, 1990; Barone et al., 2000): "*To what extent are you confident in the ability of Dell to produce a <brand extension>?*"; "*To what extent do you believe that Dell has the technology to produce a <brand extension>?*"; and "*To what extent do you believe that Dell could produce a <brand extension> without difficulty?*" ($\alpha = 0.81$). As in Study 1, to check the manipulation of perceived similarity, participants were asked to indicate to what extent the brand extension was similar to a computer. Advertising skepticism was also measured using the 9-item instrument developed by Obermiller and Spangenberg (1998) answered on a 7-point Likert scale. The nine items were averaged to generate an advertising skepticism index ($\alpha = 0.89$). Finally, participants answered several demographic questions before being thanked for their participation.

4.2 | Results

4.2.1 | Manipulation checks

As expected, attitudes toward the brand (Dell) were favorable among participants ($M = 5.40$, $SD = 0.83$, 96.5% above the scale mid-point). A one-way ANOVA on perceived brand extension similarity (low vs. moderate vs. high) revealed the predicted main effect of brand extension similarity ($F[2,166] = 49.12$, $p < 0.001$). Scheffé post hoc tests revealed that the perceived similarity of the three brand extensions was significantly different (all values of $p < 0.05$) from each other and consistent with the pretest results.

4.2.2 | Brand extension evaluation

Before the analysis, a median split was performed on advertising skepticism to create two groups (high vs. low) (Iacobucci, Posavac, Kardes, Schneider, & Popovich, 2015). Consistent with Study 1, brand extension evaluations were submitted to a two-way ANCOVA with advertising skepticism, brand extension similarity, and their interaction as independent variables, and pre-existing parent brand attitudes as covariate. The analysis revealed a main effect of brand extension similarity ($F[2,162] = 22.88$, $p < 0.01$, $\eta_p^2 = 0.22$), a main effect of advertising skepticism ($F[1,162] = 26.71$ $p < 0.01$, $\eta_p^2 = 0.14$), and the same advertising skepticism × brand extension similarity interaction demonstrated in Study 1 ($F[2,162] = 5.23$, $p < 0.01$, $\eta_p^2 = 0.06$). The effect of pre-existing brand attitudes was also significant ($F[1,162] = 19.34$, $p < 0.01$, $\eta_p^2 = 0.11$).

As expected, participants in the low advertising skepticism condition evaluated the brand extensions ($M = 4.91$, $SD = 0.82$) more favorably than participants in the high advertising skepticism condition ($M = 4.17$, $SD = 0.97$, $p < 0.01$). Further contrast analyses showed that participants evaluated the brand extensions in the predicted direction ($M_{\text{high similarity}} = 5.04$, $SD = 0.70$; $M_{\text{moderate similarity}} = 4.52$, $SD = 1.08$; $M_{\text{low similarity}} = 4.03$, $SD = 0.81$; all values of $p < 0.05$).

To test H_1, post hoc contrasts were conducted controlling for pre-existing brand attitudes. First, low advertising skeptics evaluated the moderately similar extension ($M = 5.10$, $SE = 0.16$) more favorably than high advertising skeptics ($M = 3.96$, $SE = 0.16$, $F(1,60) = 25.52$, $p < 0.01$, $\eta_p^2 = 0.30$). Weaker advertising skepticism effects were observed in the highly dissimilar ($F[1,48] = 3.51$, $p = 0.07$, $\eta_p^2 = 0.07$) and highly similar ($F[1,52] = 2.99$, $p = 0.09$, $\eta_p^2 = 0.06$) brand extension appeal conditions, with low advertising skeptics evaluating the brand extensions ($M_{\text{low similarity}} = 4.23$, $SE = 0.14$; $M_{\text{high Similarity}} = 5.18$, $SE = 0.12$) more favorably than high skeptics ($M_{\text{low similarity}} = 3.86$, $SE = 0.14$; $M_{\text{high similarity}} = 4.88$, $SE = 0.13$)

Consistent with H_1, though, evaluative differences according to advertising skepticism were larger for the moderately similar brand extension appeal ($\eta_p^2 = 0.30$) compared to the highly similar ($\eta_p^2 = 0.06$) and highly dissimilar ($\eta_p^2 = 0.07$) brand extension appeals. These results are illustrated in Figure 3, Panel A.

4.2.3 | Parent brand evaluation

The same two-way ANCOVA on parent brand evaluation revealed a main effect of brand extension similarity ($F[2,162] = 11.98$, $p < 0.01$, $\eta_p^2 = 0.13$), a main effect of advertising skepticism ($F[1,162] = 28.46$, $p < 0.01$, $\eta_p^2 = 0.15$), and the same advertising skepticism × brand extension similarity interaction demonstrated in Study 1 ($F[2,162] = 4.54$, $p < 0.05$, $\eta_p^2 = .05$). However, the effect of pre-existing parent brand attitudes was not significant ($F[1,162] = 1.12$, $p = 0.29$).

Participants in the low advertising skepticism condition evaluated the parent brand ($M = 15.15$, $SD = 14.02$) more favorably than participants in the high advertising skepticism condition ($M = 3.76$,

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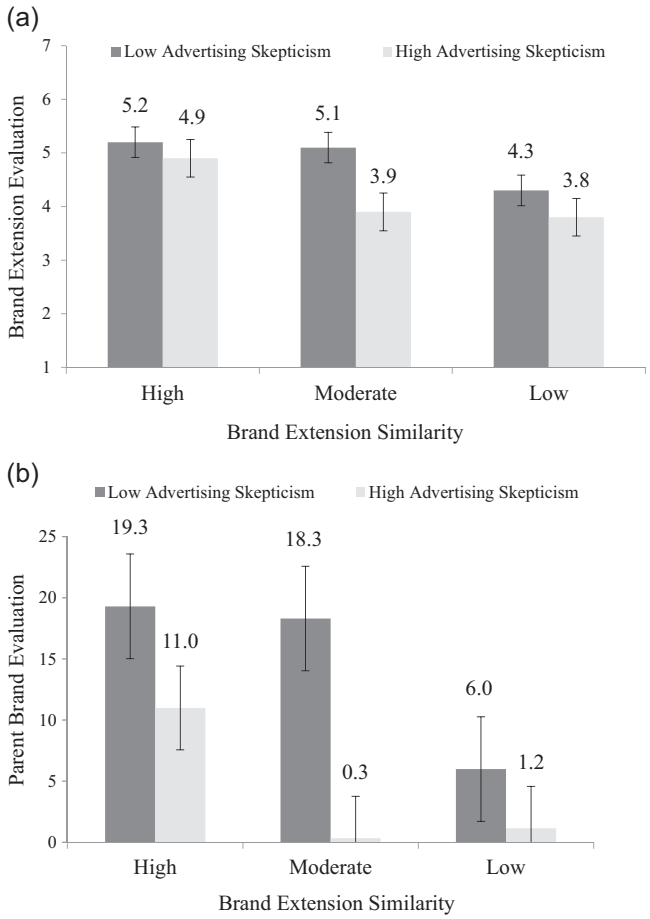

FIGURE 3 (a) Brand extension and (b) parent brand evaluations by extension similarity and consumer advertising skepticism (Study 2)

SD = 12.28, $p < 0.01$) and, as expected, parent brand evaluations were in the predicted direction ($M_{\text{high similarity}} = 15.49$, *SD* = 11.70; $M_{\text{moderate similarity}} = 9.17$, *SD* = 15.54; $M_{\text{low similarity}} = 3.41$, *SD* = 12.88; all values of $p < 0.1$).

Post hoc contrasts were conducted controlling for pre-existing parent brand attitudes. First, low skeptics exposed to the moderately similar brand extension appeal evaluated the parent brand (*M* = 18.38, *SE* = 2.31) more favorably than high skeptics (*M* = 0.25, *SE* = 2.27, $F(1,60) = 31.2$, $p < 0.01$, $\eta_p^2 = 0.34$). A weaker advertising skepticism effect ($F[1,52] = 7.49$, $p < 0.01$, $\eta_p^2 = 0.12$) was observed for the highly similar brand extension appeal, with low skeptics evaluating the parent brand (*M* = 19.18, *SE* = 2.01) more favorably than high skeptics (*M* = 11.07, *SE* = 2.20). No difference in parent brand evaluations between those low (*M* = 5.96, *SE* = 2.60) and high (*M* = 1.2, *SE* = 2.44) in advertising skepticism was obtained for the highly dissimilar extension appeal ($F[148] = 1.23$, $p = 0.27$, $\eta_p^2 = 0.03$).

Importantly, and consistent with H_2, the difference in parent brand evaluations between high and low skeptics was larger for those exposed to the moderately similar brand extension appeal ($\eta_p^2 = 0.34$) than for those exposed to the highly similar ($\eta_p^2 = 0.12$) or highly dissimilar ($\eta_p^2 = 0.03$) brand extension appeals. The results are illustrated in Figure 3, Panel B.

4.2.4 | Mediation by brand transfer

A moderated mediation analysis was conducted to test the hypothesis that brand transfer mediates the moderated effect of advertising skepticism by brand extension similarity on evaluative judgments for the moderately similar, but not for the highly similar and highly dissimilar extensions (H_3). An ANCOVA on brand transfer with advertising skepticism, brand extension similarity, and their interaction as independent variables, and parent brand attitude as a covariate revealed the predicted interaction effect ($F[2,162] = 5.60$, $p < 0.01$, $\eta_p^2 = 0.07$). This effect followed the same pattern of results previously described for brand extension and parent brand evaluations, suggesting that brand transfer is subject to the same interactive effect of advertising skepticism and brand extension similarity.

Model 10 of Hayes' (2012) PROCESS macro was used to test the moderated mediation model (10,000 resamples). A significant indirect effect of advertising skepticism on brand extension evaluations through brand transfer was observed for the moderately similar extension appeal ($a \times b = -0.11$; 95% CI [− 0.21; − 0.04]), but not for the highly dissimilar ($a \times b = -0.01$; 95% CI [− 0.10; 0.05]) or for the highly similar ($a \times b = 0.01$; 95% CI [− 0.04; 0.05]) brand extension appeals.

Similarly, a significant indirect effect of advertising skepticism on parent brand evaluations through brand transfer was observed for the moderately similar extension appeal ($a \times b = -4.65$; 95% CI [− 7.63; − 1.66]), but not for the highly dissimilar ($a \times b = -0.86$; 95% CI [− 4.59; 2.86]) or highly similar ($a \times b = -2.54$; 95% CI [− 5.94; 0.85]) brand extension appeals. Therefore, confirming H_3, these results show that the effects of advertising skepticism on evaluative judgments are, in fact, mediated by perceptions of brand transfer, and that this mediation effect is moderated by brand extension similarity.

4.3 | Discussion

The results of this study replicate and extend the finding of Study 1 by using a different parent brand and set of brand extension appeals, and measured, rather than manipulated, advertising skepticism. Consistent with H_1 and H_2, the impact of advertising skepticism on evaluative judgments of the brand extension and parent brand was larger for the moderately similar brand extension appeal than for the appeals featuring products of particularly high or low brand extension similarity. Finally, consistent with previous brand extension effects based upon theoretical models of attitude transfer (Barone et al., 2000), there was evidence supporting brand transfer as the process account, in support of H_3.

5 | STUDY 3

The primary goal of Study 3 is to test if enhancing brand transfer through the marketing communication can increase evaluations of

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moderately similar extensions and their parent brands for individuals high in advertising skepticism. If enhancing brand transfer increases brand extension evaluations, these results would provide further evidence supporting the proposition that advertising skepticism inhibits brand transfer for moderately similar extensions, while also offering a method for reducing this effect. Brand transfer was increased by highlighting the extension features shared with the parent brand, as discussed in the next section.

5.1 | Method

5.1.1 | Participants and design

A total of 1,500 clients of a large online retailer were invited to complete a survey to evaluate a new product manufactured by Dell (response rate = 8.4%). In total, 126 subjects (48% male, M_{age} = 37 years) participated voluntarily in a two-group brand extension transfer (high and low) between-subjects, experiment in which advertising skepticism was measured.

5.1.2 | Procedure

The procedure was similar to that of the previous studies. At the outset of the experiment, participants were informed that Dell was sponsoring a survey about the advertisement of a new Dell product. Participants then indicated their overall attitude toward Dell, using the same 4-item instrument used in Studies 1 and 2 (M = 5.46, SD = 1.06; α = 0.93). Next, subjects were asked to review an advertisement for the new product (a Dell Espresso Machine). There were two versions of the advertisement. One emphasized that the extension shared features that matched the parent brand's (i.e., high brand extension transfer) whereas in the other version the product possessed only regular features (i.e., low brand extension transfer).

Specifically, the high brand extension transfer advertisement portrayed the extension as more technological and similar to a computer compared to the low brand extension transfer advertisement. In the pretest, university employees (N = 51) were asked to rate one of the two brand extensions along 14 dimensions (e.g., *terrible–excellent; low –high technology; simple –sophisticated; old - fashioned–modern*; *does not look like a computer–looks like a computer*; *non-economical–economical*; *any company can manufacture it–only a highly technological company can manufacture it*) measured on 7-point scales. No branding information was presented. As expected, the product description in the high brand extension transfer condition was perceived as significantly more technological, customizable, similar to a computer, and easily manufactured by a highly technological company than the product description in the low brand extension transfer condition (all values of $p < 0.05$). There were no differences for the remaining ten dimensions suggesting that perceptions, according to these dimensions, were equivalent (see Appendix S6 for complete results).

After viewing the advertisement, participants were asked to complete a series of measures. These measures were adapted from those described in the previous studies: brand extension evaluation (α = 0.85), brand transfer (α = 0.87), parent brand evaluation, and perceived brand extension similarity. Next, the same 14 dimensions described in the pretest were assessed to check the manipulation of brand transfer. Lastly, advertising skepticism was assessed using the same scale described in Study 2 (α = 0.92). As before, participants answered demographic questions before being thanked for their participation.

5.2 | Results

An analysis of initial attitudes toward the brand (Dell) confirmed that they were favorable (M = 5.46, SD = 1.06, 96.0% above the scale mid-point), and statistically equivalent across conditions (t[124] = 1.15, p = 0.25).

5.2.1 | Manipulation checks

Several t-tests substantiated the pretest results, showing that the high brand extension transfer advertisement portrayed the extension as being more technological, customizable, similar to a computer, and easily manufactured by a highly technological company compared to the low brand extension transfer advertisement (all p values < 0.05). Importantly, the perceived similarity was not significantly different across conditions ($M_{high\ transfer}$ = 3.61 vs. $M_{low\ transfer}$ = 3.65; t(124) = 0.15, p = 0.88), ruling out the possibility that the manipulation of brand transfer influenced perceived similarity.

5.2.2 | Brand extension evaluations

Because one of the predictor variables was continuous and the other categorical, H_4 was tested using Model 1 of Hayes' (2012) PROCESS macro with brand extension evaluations as the dependent variable, the dummy-coded brand transfer (0 = low transfer; 1 = high transfer) as the independent variable, the advertising skepticism index as moderator, and pre-existing parent brand attitude as the covariate. The results revealed that the coefficients associated with advertising skepticism (b = −0.60, t(121) = −4.06, p < 0.01) and brand attitude (b = 0.19, t(121) = 1.97, p < 0.1) were significant. More important, the coefficient of the interaction term was also significant (b = 0.29; t(121) = 1.62, p < 0.1).

Participants low in advertising skepticism (M − 1 SD = 3.11) evaluated both extensions equally favorably ($M_{high\ brand\ transfer}$ = 5.61 vs. $M_{low\ brand\ transfer}$ = 5.57; b = 0.04, SE = 0.29, t(121) = 0.14, p = 0.89) whereas participants high in advertising skepticism (M + 1 SD = 5.39) evaluated the high brand transfer extension more favorably than the low brand transfer extension ($M_{high\ brand\ transfer}$ = 4.91 vs. $M_{low\ brand\ transfer}$ = 4.2; b = 0.70, SE = 0.28, t(121) = 2.50, p < 0.05) (see Figure 4, Panel A). In support of H_4, the effect of brand transfer on brand extension evaluations was higher for high skeptics than for low skeptics.

5.2.3 | Parent brand evaluation

The same analysis was implemented using Model 1 of Hayes' (2012) PROCESS macro with parent brand evaluations as the dependent variable. The results revealed that the coefficients associated with

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advertising skepticism ($b = -6.14$, $t(121) = -2.74$, $p < 0.01$), and brand attitude ($b = 2.84$, $t(121) = 1.95$, $p < 0.10$) were significant. The coefficient of the interaction term was also significant ($b = 4.71$; $t(121) = 1.71$, $p < 0.1$). Participants low in advertising skepticism evaluated the parent brand of both extensions equally favorably ($M_{\text{high brand transfer}} = 18.66$ vs. $M_{\text{low brand transfer}} = 19.35$; $b = -0.68$, $SE = 4.33$, $t(121) = -0.16$, $p = 0.88$), whereas participants high in advertising skepticism evaluated the parent brand of the high brand transfer extension more favorably than the parent brand of the low brand transfer extension ($M_{\text{high brand transfer}} = 15.40$ vs. $M_{\text{low brand transfer}} = 5.36$; $b = 10.03$, $SE = 4.28$, $t(121) = 2.34$, $p < 0.05$; see Figure 4, Panel B). In support of H_4, the positive effect of brand transfer on parent brand evaluations occurred for high skeptics, but not for low skeptics.

5.2.4 | Is brand transfer driving evaluations?

To demonstrate that the results observed were due to differences in brand transfer, a similar analysis was carried out with brand transfer as the dependent variable. The coefficient of advertising skepticism was significant ($b = -0.33$, $t(121) = -1.95$, $p < 0.1$) as well the coefficient of the brand transfer manipulation ($b = -2.08$, $t(121) = -2.29$, $p < 0.05$). More importantly, the coefficient of the interaction term was also significant ($b = 0.51$; $t(121) = 2.48$, $p < 0.05$). As expected, participants low in advertising skepticism perceived similar levels of brand transfer despite the brand transfer manipulation ($M_{\text{high brand transfer}} = 5.40$ vs. $M_{\text{low brand transfer}} = 5.86$; $b = -0.46$, $SE = 0.33$, $p = 0.16$), whereas participants high in advertising skepticism perceived a higher level of brand transfer in the high brand transfer condition ($M = 5.84$) compared to those in the low brand transfer condition ($M = 5.11$; $b = 0.72$, $SE = 0.32$, $t(121) = 2.24$, $p < 0.05$).

Using Hayes' (2012) PROCESS macro (Model 8; 10,000 resamples), a significant indirect effect of the brand transfer manipulation (high transfer vs. low transfer) on brand extension evaluations through perceived brand transfer was observed for high ($b = 0.19$; 95% CI [0.04; 0.44]), but not low ($b = -0.13$; 95% CI [− 0.42; 0.01]), advertising skeptics. The same effect emerged for parent brand evaluations. That is, a significant indirect effect through perceived brand transfer was observed for high ($b = 1.54$; 95% CI [0.03; 4.52]), but not low ($b = -1.10$; 95% CI [− 4.48; 0.10]), advertising skeptics.

5.3 | Discussion

The results of Study 3 demonstrate that when evaluating an advertisement for a moderately similar brand extension, high advertising skeptics evaluate the brand extension more favorably when the message accentuates brand extension features shared with the parent brand compared to when it does not. Conversely, for participants low in advertising skepticism, the extent to which the message emphasized these features had little effect on brand extension evaluations. This was expected, given that low advertising skeptics engage actively in the attitude-transfer process. Consistent with Studies 1 and 2, these same effects emerged for parent brand evaluations. Besides lending additional support to the process mechanism of brand transfer, Study 3 also illuminates a strategy to reduce the influence of advertising skepticism on brand extension evaluations. Importantly, both the parent brand and the brand extension remained constant across conditions.

6 | GENERAL DISCUSSION

In today's marketplace, brand extensions represent potential sources of growth, return on investment, and diversification of risk. As has been the case for Apple, Kraft, and many other brands, launching dissimilar extensions broadens the core brand and changes how it is perceived and what product categories it may enter in the future (Ahluwalia, 2008; Meyvis & Janiszewski, 2004). For these reasons, managers are motivated to launch dissimilar extensions and to understand what factors may influence their success. The current research used an individual difference approach to identify one such variable, that is, the extent to which consumers are skeptical of advertising.

An extensive body of literature supports the traditional effect of brand extension similarity, which demonstrates that positive brand associations are more likely to transfer onto extensions as perceived brand extension similarity increases (Völckner & Sattler, 2006). The

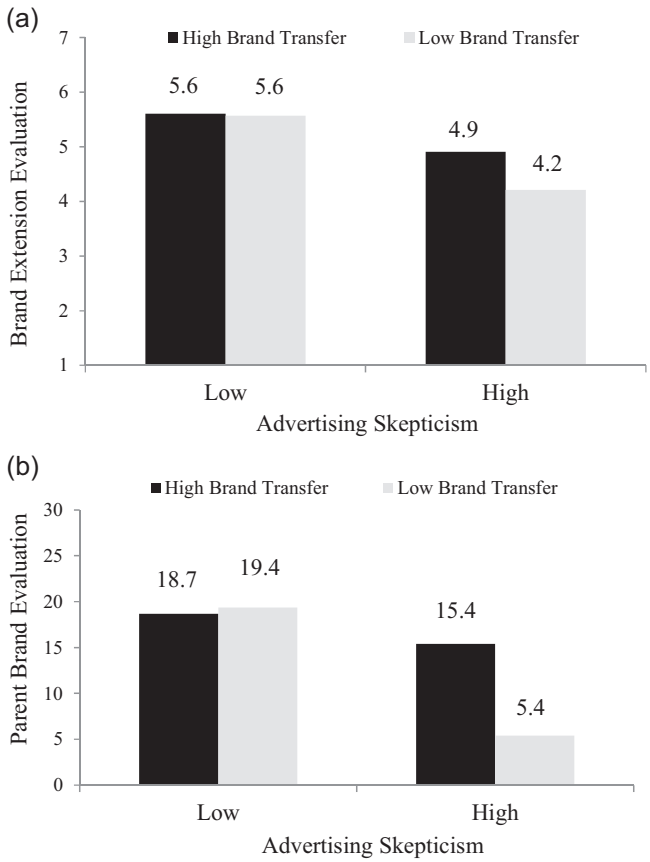

FIGURE 4 (a) Brand extension and (b) parent brand evaluations by brand extension transfer and consumer advertising skepticism (Study 3)

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current research contributes to that literature by investigating the impact of advertising skepticism on this brand extension similarity effect, with regard to evaluative judgments of brand extensions and their respective parent brands. In response to the research questions put forward, the findings show that increased advertising skepticism leads to less favorable evaluations of brand extensions and parent brands, and that this effect is larger for extensions exhibiting a moderate level of brand extension similarity.

As theorized, this pattern of results is consistent with an associative transfer account (Kim & John, 2008; Lane, 2000), that is high (low) advertising skeptics are less (more) likely to attend to and transfer associations of brand skills onto extensions (Study 2). This effect is larger for moderately similar brand extensions because highly similar (highly dissimilar) brand extensions require minimal processing and affective transfer is automatic (inhibited; Barone, 2005). However, when evaluating advertisements for moderately similar extensions, consumers who are highly skeptical of advertising are less likely to devote the additional resources needed to detect and transfer perceptions of parent brand skills compared to consumers low in advertising skepticism (Study 2). Moreover, in Study 3, high skeptics reported more favorable evaluations when perceptions of brand transfer were more accessible compared to when they were less accessible. Thus, in response to the last research question, the impact of similarity and advertising skepticism on brand extension evaluations is mediated by perceptions of brand transfer and this effect can be reduced by enhancing extension features that are shared with the parent brand.

6.1 | Theoretical implications

The current work advances existing theory by integrating two bodies of literature traditionally viewed as distinct: one investigating brand extensions as a marketing strategy, and the other exploring the effects of advertising skepticism. In doing so, related theories of affective transfer are extended, these theories being fundamental to brand extension strategies. Whereas prior research has suggested a potential link between advertising skepticism and new product evaluations (Obermiller et al., 2005), the results demonstrate specifically that the effect of advertising skepticism on extension and parent brand evaluations is contingent upon the degree of brand extension similarity. This is particularly important, because the literature on brand extensions has not hitherto explored fully what individual-level factors may have an impact on the affective transfer process.

The results also contribute to a growing body of literature linking brand extension success with marketing communications. Whereas previous research has focused on the effects of factors such as repetition (Lane, 2000) and similarity inducing cues (Bridges et al., 2000; Martin, Stewart, & Matta, 2005), the current research is the first to explore the causal link between advertising skepticism and brand extension similarity on the affective transfer process. Thus, despite a rich body of literature investigating the influence of perceived similarity on brand extension evaluations, and previous empirical work exploring individual-level factors that influence perceptions of similarity (Kim & John, 2008; Yeung & Wyer, 2005), very little research has explored factors facilitating or impeding the brand-to-extension transfer process. Therefore, the current research contributes to the literature documenting not only which consumer-level variables influence the acceptance of brand extensions (Broniarczyk & Alba, 1994; Fedorikhin, Park, & Thomson, 2008; Gürhan-Canli & Maheswaran, 1998; Kim & John, 2008; Monga & John, 2006), but also the factors that influence the transfer process itself.

These findings also have important theoretical implications for the literature on advertising skepticism. They fill an important research gap by showing how branding may influence the role of advertising skepticism. In particular, it is argued that advertising skepticism is indicative of an important characteristic, that is, inconsistency resolution, which inhibits perceptions that the parent brand can successfully produce the extension. In support of this process account, in addition to direct mediational evidence (see Studies 2 and 3), the findings show that factors designed to increase brand transfer directly (see Study 3) enhance evaluative judgments for individuals high in advertising skepticism. These results are relevant both theoretically and practically because they identify advertising skepticism as an important factor inhibiting the affective transfer process, explain the process underlying this effect, and identify theoretically-relevant factors that attenuate the effect.

6.2 | Managerial implications

The findings of this article have numerous strategic implications. Brands are valuable, and marketers are motivated to leverage this value to the greatest extent possible (Ahluwalia, 2008). With that said, current marketing theory recommends that managers avoid overextending the brand, because consumers tend to reject extensions that deviate from the core brand (Aaker & Keller, 1990). This study shows that brands can be stretched farther for consumers who exhibit low levels, rather than high levels, of advertising skepticism.

Fortunately, marketers can overcome advertising skepticism by using advertisement tactics such as transformational advertisements (Bagozzi, Gopinath, & Nyer, 1999; Puto & Wells, 1984). Although skeptical individuals are persuaded less by informational advertisements (Obermiller & Spangenberg, 1998; Pratkanis & Aronson, 2001), transformational ads use emotionally laden language and do not resemble traditional advertisements, subsequently reducing resistance to persuasion attempts (Pratkanis & Aronson, 2001).

Marketers can also measure how skeptical consumers are about advertising and target brand extensions accordingly. Advertising skepticism has also been shown to covary with other important variables, which could be used as a basis for segmentation and targeting. This may be particularly useful when it is difficult to target individuals according to advertising skepticism. For example, older and more educated consumers tend to exhibit higher levels of advertising skepticism (Obermiller & Spangenberg, 1998) and skepticism varies according to location and culture (Schaefer, Hermans, & Parker, 2005).

The challenges of marketing dissimilar extensions to skeptical consumers can also be overcome with simple marketing strategies. Emphasizing brand transfer in marketing messages enhances positive

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responses (see Study 3). Similarly, incorporating attention-getting marketing techniques (e.g., mystery advertisements) may also help to overcome the deleterious effects of advertising skepticism. Importantly, the results also indicate that these tactics may be less effective for consumers low in advertising skepticism or for highly similar or dissimilar extensions.

In summary, understanding what factors influence the success of moderately similar extensions is crucial for marketers because as a brand expands, the opportunities for launching highly similar extensions decreases and there may be mounting pressure to introduce dissimilar extensions to maintain growth.

6.3 | Limitations and future research

This study only dealt with product category similarities between brand extensions and parent brands, more commonly referred to as category-based similarity. Future studies could examine other forms of extension similarity. This is particularly important, given prior research demonstrating how brand-specific associations can override the effects of category similarities (Broniarczyk & Alba, 1994). Given the results of this study, it is likely that other transfer processes may be affected by advertising skepticism. For example, endorser effectiveness increases as the perceived similarity between the endorser and the product increases, commonly referred to as the matchup hypothesis (Till & Busler, 2000; Wright, 2016). The current findings suggest that various forms of skepticism could similarly impede associations between endorsers and products, particularly when endorser-by-product similarity is moderate. This could be a fruitful topic for future research. Similarly, although this study was restricted specifically to advertising skepticism, it is proposed that similar findings may occur for more general forms of skepticism (Obermiller & Spangemberg, 1998), or with related constructs such as consumer cynicism (Pollay, 1986).

In this study, one particular method of overcoming advertising skepticism (i.e., heightening brand extension features shared with the parent brand) was explored. Future research could explore whether manipulating the skills or competencies of the parent brand may impact the effects of advertising skepticism. Given the prominence of advertising skepticism among consumers, future studies should also explore additional strategies aimed at overcoming consumer skepticism. For example, two-sided, rather than one-sided messages (Belch, 1981) may be particularly effective in this regard. Whereas a one-sided message presents only arguments in favor of a single proposition, a two-sided message presents both favorable and unfavorable arguments to support a proposition. Prior research has found that two-sided messages reduce counter-arguing (Belch, 1981) and bolster credibility (Eisend, 2006).

6.4 | Concluding remarks

Given the ubiquity of brand extensions, the present research is the first to explore the means by which consumer advertising skepticism influences the persuasiveness of extension appeals. The findings demonstrate consistently that high skeptics respond less favorably to moderately similar brand extension appeals than low skeptics due to decreased brand transfer. Before this empirical work, it was not known if or how advertising skepticism would influence extension evaluations. We conclude that the effect of advertising skepticism varies according to extension similarity. This adds new knowledge to theories underlying advertising skepticism, which had not previously considered the important role of brand associations. These findings, then, provide an important advancement in our understanding of brand extension strategies, novel theoretical insights into the manner in which advertising skepticism influences evaluations, and clear implications for strategists and marketers regarding the manner in which new products should be marketed.

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